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CIRCULAR TO ALL BANKS, OTHER FINANCIAL INSTITUTIONS AND THE PUBLIC

EXPOSURE DRAFT OF THE GUIDE TO CHARGES BY BANKS AND OTHER FINANCIAL INSTITUTIONS IN NIGERIA, 2026 (THE GUIDE)

In furtherance of the mandate to promote a safe and sound financial system in Nigeria, accelerate the adoption of innovative financial services, financial inclusion and micropayments/transaction, the Central Bank of Nigeria (CBN) has reviewed the extant Guide to Charges by Banks, Other Financial and Non-Bank Financial Institutions.

This reviewed Guide provides for an increased range of financial services, encourages development of innovative products, strengthens responsibility for oversight and accountability and promotes financial inclusion through lower tariffs for micropayments/transactions. Furthermore, the Guide reviewed some charges for banking services to encourage increased adoption of electronic channels and accommodates new industry participants since the issuance of the 2020 Guide.

In view of the above, the draft Guide is hereby exposed to members of the public for their comments/input on the proposed fees contained therein. Comments are to be sent to PolicyandRegulationsDivision@cbn.gov.ng on or before May 08, 2026.

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THE GUIDE TO CHARGES BY BANKS AND OTHER FINANCIAL INSTITUTIONS IN NIGERIA

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PREFACE

The Guide to Charges by Banks and Other Financial Institutions in Nigeria (the Guide) provides a basis for the application of charges (which includes fees and rates) on various products and services offered by financial institutions in Nigeria to their customers. This document applies to all financial institutions licensed and/or regulated by the Central Bank of Nigeria (CBN).

The charges prescribed in the Guide resulted from extensive consultations with stakeholders. The Guide aims to enhance flexibility, standardisation, transparency and competition in the Nigerian financial system.

Where a charge is stipulated as “negotiable”, financial institutions are required to draw the attention of customers to their rights to negotiate at the beginning of the transactions and subsequently, if the need arises. Parties are required to mutually agree on the applicable charge via a verifiable means. When charges are “negotiable subject to a maximum or minimum amount/rate”, the charge applied shall not exceed the maximum or be less than the minimum amount/rate stipulated therein.

Although the Guide provides for charges on various products and services of financial institutions, it is not exhaustive. Financial institutions are required to present any new product, service or charge not covered by this Guide to the CBN for prior written approval.

This Guide applies to the following categories of institutions:

a. Commercial Banks
b. Merchant Banks
c. Payment Service Banks
d. Non-Interest Banks
e. Microfinance Banks
f. Finance Companies
g. Primary Mortgage Banks
h. Development Finance Institutions
i. Credit Guarantee Companies
j. Mobile Money Operators
k. Any other institution as may be designated by the CBN.

The charges stipulated in this Guide shall only apply to activities that are permitted under the respective operational guidelines of the financial institutions.

In line with the provisions of the extant Consumer Protection Regulations, financial institutions shall apply non-credit related charges on an account only to the extent of the balance in the account and defer any outstanding charge until the account is funded. Such deferred fees shall not attract any interest.

The provisions of this Guide are to be read in conjunction with the Guidance Notes in Part 3 and the Glossary of Terms in Part 5.

DRAFT

This Guide supersedes the *Guide to Charges by Banks, Other Financial and Non-Bank Financial Institutions (effective January 1, 2020)*.

DRAFT

TABLE OF CONTENTS

PART 1 ***5***

ACCOUNTABILITY AND RESPONSIBILITY ***5***

PART 2: ***6***

SCHEDULE OF CHARGES ***6***

SECTION 1: INTEREST ON DEPOSITS/BORROWINGS **6**

SECTION 2: LENDING RATES AND FEES **7**

SECTION 3: ACCOUNT SERVICE CHARGES **10**

SECTION 4: COMMISSION ON BONDS, GUARANTEES & INDEMNITIES **11**

SECTION 5: FOREIGN EXCHANGE COMMISSION/CHARGES **12**

SECTION 6: TRADE-RELATED CHARGES **13**

6.1 BILLS FOR COLLECTION **13**

6.2 DIRECT HANDLING OF TRADE DOCUMENTS **14**

SECTION 7: ELECTRONIC BANKING **17**

SECTION 8: CARDS **18**

SECTION 9: ATM TRANSACTION FEES **19**

SECTION 10: DOMESTIC TRANSACTION FEES **20**

SECTION 11: MOBILE MONEY TRANSACTIONS **23**

11.1: TRANSACTIONS AT AGENT'S TOUCHPOINT 23

SECTION 12: MISCELLANEOUS **24**

PART 3 ***26***

GUIDANCE NOTES ***26***

PART 4 ***28***

LIST OF ACRONYMS ***28***

PART 5 ***29***

GLOSSARY ***29***

PART 6 - MINIMUM DISCLOSURE REQUIREMENTS IN OFFER LETTERS FOR CREDIT FACILITIES/LOANS ***34***

A. GENERAL REQUIREMENTS **34**

B. CONSUMER LOANS **36**

C. MORTGAGE LOANS **38**

D. OVERDRAFTS **40**

E. CONTINGENT LIABILITIES **41**

DRAFT

PART 1

ACCOUNTABILITY AND RESPONSIBILITY

1) To ensure accountability and strict compliance, the Executive Compliance Officer (ECO) of Commercial, Merchant, Payment Service and Non-Interest Banks or the Managing Director/Chief Executive Officer for other regulated institutions shall:

   a) formally cascade compliance expectations to all heads of business and control functions; and

   b) require the Head, Information Technology to ensure that all systems configurations only capture and allow posting of charges as permitted and described in this Guide.

2) The Chief Compliance Officer (CCO) and Head Information Technology shall jointly render monthly reports electronically, of all failed electronic transactions via various e-channels (ATM, PoS, mobile, web/internet and related channels) that originate or terminate in the institution, to psocd@cbn.gov.ng and CPDReturns@cbn.gov.ng.

3) The CCO shall monitor strict compliance with this Guide.

DRAFT

PART 2:

SCHEDULE OF CHARGES

SECTION 1: INTEREST ON DEPOSITS/BORROWINGS

	DESCRIPTION	RATE
1.1	**1.1.1 Current Account in Credit Balance**	Negotiable
	1.1.2 Regular Wallet (MMOs only)	Nil
1.2	**1.2.1 Savings Account**	Negotiable, subject to a minimum of 30 per cent of MPR per annum (not applicable if a customer makes more than 4 withdrawals in a month)
	1.2.2 Savings Wallet (MMOs only)	Proportionate income from investment in NTBs less a maximum of 10 per cent Management Fee.
1.3	**Term Deposit Accounts**	Negotiable
1.4	**Interest on Borrowings (FCs only)**	Negotiable
1.5	**Domiciliary Accounts (Banks only)**	
	1.5.1 Current Accounts	Negotiable
	1.5.2 Savings Accounts	Negotiable
1.6	**Deposits held as collateral (Banks, MFBs, PMBs, DFIs, and in the case of FCs – borrowings, to the extent permitted)**	
	1.6.1 Naira Deposit	Negotiable subject to minimum of 30 per cent of MPR per annum.
	1.6.2 Foreign Currency Deposit	Negotiable subject to a minimum of 0.18%.

SECTION 2: LENDING RATES AND FEES

	DESCRIPTION	RATE
2.1	**Interest Rates: All interest/lending rates, inclusive of all applicable fees, shall be quoted and communicated to customers strictly on an Annual Percentage Rate (APR) basis.**	
	2.1.1 **Local Currency Loans and Advances (except DFI Loans)**	Negotiable (the rate should anchor MPR, reflecting the risk-based pricing model). Also, see Section 1.6 of the Guidance Notes
	2.1.2 **Interest Rate - Foreign Currency Loans (including Credit Cards)** **(Banks and DFIs only)**	Negotiable
	2.1.3 **DFI Loans** **(DFIs only)**	DFI's own funds: Negotiable
		Intervention funds through DFI: - as specified by the Fund Provider; - where a rate has not been specified by the Fund Provider, it shall be negotiable.
	2.1.4 **Mortgage Financing**	Negotiable
	2.1.5 **Interest Rate - Foreign Currency Loans (including Credit Cards)** **(Banks and DFIs only)**	Negotiable
	2.1.6 **Interest on Authorized Overdraft (OD)**	Negotiable (the rate should anchor MPR, reflecting the risk-based pricing model).
	2.1.7 **Unauthorized OD/Credit**	Not permissible except as a result of principal and interest payment (where it occurs as a result of principal and interest payment, penal rate as provided in Section 2.1.15 shall apply).
	2.1.8 **Drawing against Uncleared Effects**	Negotiable (the rate should anchor MPR, reflecting the risk-based pricing model).
	2.1.9 **Equipment Leasing**	Negotiable (the rate should anchor MPR, reflecting the risk-based pricing model).

	2.1.10 **Finance Lease – Residual Value**	Negotiable (it shall be at the initiation of the contract and shall be part of the agreement).
	2.1.11 **Real Estate Construction Finance** **(PMBs only)**	Negotiable
	2.1.12 **Discountable Instruments** (e.g. Usance bill, Bankers' Acceptance, Commercial Papers, Promissory Notes etc.) **(Banks only)**	Negotiable
	2.1.13 **Micro - Leasing/ Microfinance-related Hire Purchase** **(MFBs only)**	Negotiable
	2.1.14 **Consortium/Syndicated Lending**	Negotiable
	2.1.15 **NHF Loan** **(PMBs only)**	As prescribed in the National Housing Fund Act (no additional interest is allowed).
	2.1.16 **Credit Cards**	Negotiable
	2.1.17 **Penal Rate**	**Naira loans and advances**: • Maximum of 1 per cent flat per month on unpaid amount in addition to charging current rate of interest on outstanding debt (without prejudice to the provisions of the Prudential Guidelines on the limitation of accruals). **Foreign currency loans and advances (where applicable):** • Maximum of 0.25 per cent flat rate per month of unpaid amount in addition to charging current rate of interest on outstanding debt (without prejudice to the provisions of the Prudential Guidelines on the limitation of accruals).

		<u>For PMBs</u>: • Penalty for failure to disburse NHF loans to beneficiaries or remit repayment from beneficiaries to FMBN within 30 days of receipt: MPR + 7 per cent per annum of the total amount not disbursed or remitted. Also, see Section 1.7 of the Guidance Notes
2.2	**Credit Reference Reports**	Cost recovery Also, see Section 1.8 of the Guidance Notes

DRAFT

SECTION 3: ACCOUNT SERVICE CHARGES

	DESCRIPTION	RATE
3.1	**Current Account Maintenance Fee (CAMF)** **(Banks, MFBs and PMBs)**	Negotiable subject to a maximum of ~~₦~~1 per mille (2026: ~~₦~~0.5 per mille; 2027: ~~₦~~0 per mille) Also, see Sections 2.1 and 2.2 of the Guidance Notes
3.2	**Reactivation of Accounts**	No charge
3.3	**Closure of Account (savings, current, or domiciliary)**	No charge
3.4	**Issuance of Statement of Account:**	
	3.4.1 **Mandatory Monthly Issuance of Statement of Account on Current and Savings Accounts (Whether Printed or Electronic)**	No charge
	3.4.2 **Special Request for Electronic Statement of Account for Customers Personal Use**	No charge
	3.4.3 **Special Request for Electronic Statement of Account – Delivery to Third Parties**	~~₦~~200
	3.4.4 **Special Request for Printed Statement of Account (Request in a manner other than agreed on mandatory issuance)**	Maximum of ~~₦~~20 per page

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SECTION 4: COMMISSION ON BONDS, GUARANTEES & INDEMNITIES

	DESCRIPTION	RATE
4.1	**Bid bond/Tender Security/Bid Security** **(Banks and DFIs only)**	Negotiable subject to a maximum of 1 per cent of the Bond value for the first year and 0.5 per cent on subsequent years on contingent liabilities
4.2	**Performance Bond (chargeable from date of contingent liability)** **(Banks and DFIs only)**	Negotiable subject to a maximum of 1 per cent of the Bond value for the first year and 0.5 per cent on subsequent years on contingent liabilities
4.3	**Advance Payment Guarantee (APG)**	Negotiable subject to a maximum of 1 per cent of the guaranteed amount/value annually Also, see Sections 3.1 and 3.2 of the Guidance Notes
4.4	**Bank Guarantee** **(Banks and DFIs only)**	Negotiable subject to a maximum of 1 per cent of the guaranteed amount/value annually, prorated where applicable Also, see Section 3.2 of the Guidance Notes
4.5	**Third-party Cheque** **Indemnities**	To be discouraged – However, negotiable for non-clearing financial institutions e.g. Micro-finance banks
4.6	**Other Bonds, Guarantees and Indemnities**	Negotiable subject to a maximum of 1 per cent of the guaranteed amount/value annually Also, see Section 3.2 of the Guidance Notes

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SECTION 5: FOREIGN EXCHANGE COMMISSION/CHARGES

	DESCRIPTION	RATE
5.1	**Foreign Exchange Purchases** **(Authorised Financial Institutions only)**	
	5.1.1 From the CBN	As may be advised by the CBN
	5.1.2 From the inter-bank market	As may be advised by the CBN
	5.1.3 From customers	Inter-bank foreign exchange bid rate
	5.1.4 Travelers Cheques	As may be advised by the CBN
	5.1.5 Inward transfers expressed in foreign currency	No charge
5.2	**Foreign Exchange Sales** **(Authorised Financial Institutions only)**	
	5.2.1 To Customers	As may be advised by the CBN
	5.2.2 Foreign Draft	0.1 per cent of the value of the draft plus offshore charges
	5.2.3 Outward transfers expressed in foreign currency	• Messaging cost - no charge • Commission - 0.1 per cent • Offshore charges - cost recovery
5.3	**Collection Charge on Cheques**	1 per cent of cheque value or Naira equivalent of US $10, whichever is lower
5.4	**Commission on Withdrawals from Domiciliary Accounts (whether savings or current account)**	0.05 per cent of transaction value or $10, whichever is lower

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SECTION 6: TRADE-RELATED CHARGES

6.1 BILLS FOR COLLECTION

	DESCRIPTION	RATE
Bills for Collection (Inward) (Authorised Dealers only)		
6.1.1	**Collection:**	
	6.1.1.1 **Commission on Bills for Collection**	Negotiable, subject to a maximum of 0.1 per cent of the bill value
	6.1.1.2 **Postage** (where applicable)	Cost recovery
	6.1.1.3 **Communication Charge** (where applicable)	Cost recovery
6.1.2	**Holding Charges after Non-Payment, Chargeable One Month after Due Date**	₦5,000 per month
6.1.3	**Extension Charges for Sight Bills altered to Tenured (Usance) Bills**	Negotiable, subject to a maximum of ₦6,000 plus cost of messaging
6.1.4	**Protest Charges plus Notary Public Fees**	Cost recovery
	Bills for Collection (Outward) (Banks and DFIs)	
6.1.5	**Collection Commission:** Commission on Bills for Collection	Negotiable, subject to a maximum of 0.1 per cent of the face value of the bill
6.1.6	**Bills for Collection – Negotiation**	Negotiable

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6.2 DIRECT HANDLING OF TRADE DOCUMENTS

(Authorised Dealers only)

	DESCRIPTION	RATE
6.2.1	**Export Documents Delivery**	Cost recovery
6.2.2	**Import Documents:**	
	6.2.2.1 **Delivery**	Negotiable, subject to a maximum of ₦5,000 plus cost of courier
	6.2.2.2 **Bills for Collection against Acceptance**	Negotiable, subject to a maximum of ₦5,000 plus cost of courier
	6.2.2.3 **Bills for Collection against Payment**	Cost of courier

6.3 - INWARD AND OUTWARD LETTERS OF CREDIT

	DESCRIPTION	RATE
	Inward Letters of Credit (Export) Also, see Section 5.1 of the Guidance Notes	
6.3.1	**Processing and Registration of electronic Nigerian Export Form (e-Form 'NXP')**	₦3,000 in addition to maintenance fee on e-Form 'NXP' as advised by the CBN.
6.3.2	**Advising Commission:**	
	6.3.2.1 Where a Nigerian bank verifies authenticity of the credit and delivers same	Negotiable, subject to a maximum of ₦15,000
	6.3.2.2 Where a Nigerian bank rewrites the credit at the instance of the customer	Negotiable, subject to a maximum of 0.05 per cent of the value
6.3.3	**Commission on Confirmation of LC**	Negotiable, subject to a maximum of 0.5 per cent of the face value.
6.3.4	**Letter of Credit – Negotiation**	Negotiable

DRAFT

	Outward Letters of Credit (Import)	
6.3.5	**e-Form 'A'**	₦3,000 in addition to Maintenance Fee on e-Form 'A' as advised by the CBN.
6.3.6	**e-Form 'M':**	
	6.3.6.1 **Processing**	₦3,000 in addition to Maintenance Fee on e-Form 'M' as advised by the CBN.
	6.3.6.2 **Amendment**	Negotiable, subject to a maximum of ₦5,000
	6.3.6.3 **Revalidation/ Extensions**	Negotiable, subject to a maximum of ₦5,000
6.3.7	**LC Establishment Commission**	
	6.3.7.1 **For credits up to 180 days**	Negotiable, subject to a maximum of 0.5 per cent of face value and messaging charge depending on the rate used Also, see Section 5.2 of the Guidance Notes
	6.3.7.2 **For credits up to 270 days**	
	6.3.7.3 **For credits up to 360 days**	
6.3.8	**LC Issued with Import Finance Facilities**	
	6.3.8.1 **Confirmation Line Charge**	Negotiable
	6.3.8.2 **Refinancing Charge**	Negotiable
	6.3.8.3 **Other Offshore Charges (Postage, amendments, Telex Charge, etc)**	Cost Recovery

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6.3.9	**Renewal and Extension in the LC value:**	
	6.3.9.1 **Renewals**	Commission on applicable LC establishment as specified in 6.3.7 above
	6.3.9.2 **Extensions**	₦5,000.00 flat
6.3.10	**Increases or Enhancements in the LC value**	Additional establishment commission should be charged on the amount of any increase for the unexpired period of validity of credit (in line with 6.3.7 above)
6.3.11	**Amendment of LC at the Instance of the Customer**	₦5,000 per application plus associated offshore charges
6.3.12	**Amendment of LC at the Instance of the Financial Institution**	No Charge
6.3.13	**Usance Bill under Credit Guarantee Commissions:**	
	6.3.13.1 Where the bill is less than one year	Negotiable, subject to a maximum of ₦3 per mille per month
	6.3.13.2 Where the bill exceeds one year	
6.3.14	**Pre-Arrival Assessment Report (PAAR)**	₦2,500 flat irrespective of payment mode
6.3.15	**Processing of Form NCX**	₦3,000 in addition to maintenance fee on Form NCX as advised by the CBN.

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SECTION 7: ELECTRONIC BANKING

	DESCRIPTION	RATE
7.1	**Internet Banking:**	
	7.1.1 **Hardware Token**	Cost Recovery Also, see Section 4.1 of the Guidance Notes
	7.1.2 **Software Token**	₦500 Per Annum
	7.1.3 **One Time Password (OTP)**	**Via Email**: No Charge
		Via SMS: Cost Recovery
	7.1.4 **Hardware Token replacement**	Cost Recovery Also, see Section 4.2 of the Guidance Notes
7.2	**Electronic Funds Transfer** (within Nigeria)	
	7.2.1 intra-bank/scheme	**No Charge**
	7.2.2 inter-bank/scheme	**Amount (Maximum)** >₦0 to ₦5,000: No Charge >₦5,000 to ₦50,000: ₦10 >₦50,000: ₦50 For MFBs, settlement bank's charge plus 10 per cent of the charge
7.3	**RTGS**	₦950 or as may be advised by CBN
7.4	**Bills Payment** (Including Bills Payment through other E-channels)	Not more than ₦100 per transaction payable by the sender

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SECTION 8: CARDS

	DESCRIPTION	RATE
8.1	**Card Issuance/Replacement Charges**	
	8.1.1 **Regular/Basic Debit/Credit Card**	~~₦~~1,500
	8.1.2 **Premium Debit/Credit/Hybrid Card**	Negotiable
	8.1.3 **Virtual Cards**	No Charge
8.2	**Card Maintenance Fee**	
	8.2.1 **Foreign Currency Denominated Debit/Credit Cards (Banks only)**	$10 per annum. (or its equivalent)
	8.2.2 **Naira Debit/Credit Card**	No Charge
8.3	**PIN**	
	8.3.1 **PIN Re-issue**	No charge
	8.3.2 **PIN Reset**	No charge
	Other Card Charges	
8.4	**Prepaid Card Loading/Offloading**	No charge

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SECTION 9: ATM TRANSACTION FEES

	DESCRIPTION	RATE
9.1	**ATM Transactions:**	
	9.1.1 **On-Us (**customer withdrawing at the ATM of the customer's financial institution**)**	No charge
	9.1.2 **Not-On-Us (withdrawal from another institution's ATM) in Nigeria**	**On-site ATMs**: A charge of ₦100 per ₦20,000 withdrawal.
		Off-site ATMs: A charge of ₦100 plus a surcharge of not more than ₦500 per ₦20,000 withdrawal. The surcharge, which is an income of the ATM deployer/acquirer, shall be disclosed at the point of withdrawal to the consumer.
9.2	**Non-Cash Transactions** **(via ATM)**	
	9.2.1 **Bills Payment**	₦100
	9.2.2 **Intrabank Transfer**	No charge
	9.2.3 **Inter-bank Transfer**	Same as in Electronic Funds Transfer within Nigeria (Section 7.2)
9.3	**Biometric Enabled Authentication on Payment Channels**	No Charge
9.4	**International Withdrawals (per transaction) whether debit/credit card**	Cost Recovery – exact charge by international acquirer

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SECTION 10: DOMESTIC TRANSACTION FEES

	DESCRIPTION	RATE
10.1	**Bank Drafts (Banks and MFBs)**	
	10.1.1 **Customer**	Current Account - ₦300 Savings Account - ₦500
	10.1.2 **Non-Customer** (Draft value, subject to the cumulative balance limit for Tier 1 bank accounts as prescribed by the CBN from time to time)	₦500 + 0.1 per cent of the Draft value
10.2	**Draft Repurchase**	No charge
10.3	**Charge paid by non-account holders for initiating cash transactions** (e.g. local money transfer, prepaid card loading), subject to maximum daily limit of ₦20,000	**For banks:** ₦200 flat. However, banks are enjoined to undertake KYC on such customers.
		For MFBs: Settlement bank's charge plus ₦50
10.4	**Cash Handling charge**	As may be advised by the CBN
10.5	**Special Clearing of Cheques**	Negotiable
10.6	**Standing Order Set-up Charge (at the instance of the Customer)**	Intra-bank or Inter-bank: No charge
10.7	**Direct Debit (Banks and MFBs only)**	
	10.7.1 **Direct Debit Charge**	**Banks:** Same as the cost of platform used **MFBs:** Settlement bank's charge plus ₦50
	10.7.2 **Failed Direct Debit:**	
	10.7.2.1 **Due to reasons other than the account being unfunded**	No charge
	10.7.2.2 **Due to the account being unfunded**	1 per cent of amount or ₦5,000, whichever is higher (to be borne by drawer only).

DRAFT

10.8	**Safe Custody**	Negotiable
10.9	**Stopped Cheques**	₦5,000 per cheque
10.10	**Purchase/Sale of Treasury Bills for Customers (Banks only)**	
	10.10.1 **Processing fee**	₦100 flat
	10.10.2 **Custodian fee**	In line with extant Guidelines on Custodianship on Money Market and Other Fixed Income Instruments (applicable on Treasury bills purchase)
	10.10.3 **Settlement of trade via S4**	₦500 (CBN may modify this charge from time to time)
10.11	**TSA e-Collection Charges** **(To be borne by the payer)**	a) **Payment through POS**: ₦150 plus 0.50 per cent, subject to a maximum of ₦10,000 per transaction. b) **Payment through other channels (bank transfers, mobile payments, bank teller points)**: ₦150 only per transaction
10.12	**Merchant Service Charge (MSC) (charge to be borne by the merchant):** There shall be no charge to the cardholder paying the merchant. All card transactions done by cardholders at a merchant location shall be free of charge to the cardholder. i.e. the MSC shall be borne by the merchant. The MSC payable by a merchant shall be the same irrespective of the technology or payment methods e.g. Cards, Cardless, Transfer, Pay-with-Phone-Number, etc.	0.5% subject to a cap of ₦10,000

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	Where this fee applies, convenience fee shall not be payable	
10.13	**Web Acquiring Charge (WAC) (to be borne by Merchant)** There shall be no charge to the cardholder paying the merchant. All card transactions done by cardholders on a web portal shall be free of charge to the cardholder. i.e. the WAC shall be borne by the merchant. The WAC payable by a merchant shall be the same irrespective of the technology or payment methods e.g. Cards, Cardless, Transfer, Pay-with-Phone-Number, etc. **Where this fee applies, convenience fee shall not be payable**	Negotiable
10.14	**Bulk Payments (e.g. Salaries, Dividends etc.)**	**For Banks:** Negotiable subject to a maximum of ~~₦~~25 per beneficiary payable by the sender **For all other institutions**: Negotiable subject to a maximum of ~~₦~~50 per beneficiary payable by the sender
10.14	**Transaction Alerts**	
	10.14.1 **Mandatory SMS notification**	• **Customer-induced transactions**: Cost recovery • **Bank-induced transactions**: No charge Also, see Section 6.1 of the Guidance Note
	10.14.2 **Email notification**	No charge

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SECTION 11: MOBILE MONEY TRANSACTIONS

11.1: TRANSACTIONS AT AGENT'S TOUCHPOINT

	DESCRIPTION	RATE
11.1.1	**Cash-in (Deposit into Mobile Money Operator Wallet)**	
	11.1.1.1 **On-Us Agent (borne by customer)**	No Charge
	11.1.1.2 **Not-On-Us Agent (borne by customer)**	Applicable Electronic Funds Transfer fee (in Section 7.2) plus ₦100
11.1.2	**Cash-out at Agent's Touchpoint**	
	11.1.2.1 On-Us (Customer withdrawing at the Agent of the Customer's financial institution):	A surcharge of N100 per N20,000. The principal shall embed this fee in the device.
	11.1.2.2 Not-On-Us	A charge of N100 per N20,000 and surcharge determined and embedded by the Principal of the Agent in the device. The surcharge shall be disclosed to the person making the withdrawal and captured in the transaction message.
11.1.3	**Account/Wallet Opening Facilitation**	No charge

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SECTION 12: MISCELLANEOUS

	DESCRIPTION	RATE
12.1	**Insurance Premium paid on behalf of customers**	Cost Recovery Also, see Section 7.1 of the Guidance Notes
12.2	**Status Enquiry at the Request of Customer** (e.g. Confirmation Letter, Embassy Letter, Reference Letter, Letter of Indebtedness/Non-indebtedness etc.)	₦500 per request plus cost of courier (where applicable)
12.3	**Verification of Customers' Documents**	
	12.3.1 **Search at Corporate Affairs Commission (CAC), land registry, legal search, etc.**	Cost recovery
	12.3.2 **Obtaining Certified True Copy (CTC)**	
	12.3.3 **Perfection of Security for credit facilities**	
	12.3.4 **Valuation of Property**	
12.4	**Issuance of Withdrawal Booklet/Passbook**	No charge
12.5	**Customized Deposit Booklet**	Negotiable
12.6	**Cost of Cheque Books**	
	12.6.1 **Cheque Books**	Cost recovery
	12.6.2 **Counter Cheque**	**For banks and MFBs:** ₦50 per leaflet **For PMBs:** ₦100 per leaflet
12.7	**Returned Cheques** 12.7.1 Due to reasons other than the account being unfunded	No charge
	12.7.2 Due to the account being unfunded	1 per cent of amount or ₦5,000 whichever is higher (to be borne by

DRAFT

		drawer only). This is without prejudice to the Dud Cheque Act.
12.8	**Advisory/Consultancy fee**	Negotiable Also, see Section 7.2 of the Guidance Notes
12.9	**Cash Deposit/Withdrawal Charges** (Individual/Corporate)	As prescribed by the CBN
12.10	**e-Dividend Mandate Processing Fee**	~~₦~~150
12.11	**Confirmation of Overseas Enquiries to Correspondent Bank at the Instance of the Customer** **(Banks and DFIs only)**	~~₦~~500 plus Cost of Postage (if applicable)
12.12	**Intermediation Fees for Commercial Papers (to be borne by the issuer)** **(Banks and DFIs only)**	Negotiable
12.13	**Letter of Discharge for Facilities Repaid by Customer**	No charge
12.14	**Product/service application form**	No Charge
12.15	**Credit Guarantee Fee** **(CGCs only)**	Negotiable

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PART 3

GUIDANCE NOTES

1. **Lending Rates and Fees**

1.1 All lending rates and fees are to be consolidated and quoted as an Annual Percentage Rate (APR) to customers.

1.2 Details of APR applicable on a credit transaction shall be disclosed to the customer at the point of consummation.

1.3 The responsibility for initiating negotiation of the APR shall be at the instance of the customer.

1.4 Except for penal charge, no other fee or rate associated with a credit (loan, advance, or financing) not included in the APR shall be chargeable to borrowers.

1.5 APR applies to only lending institutions.

1.6 When a bank or a lending OFI intends to introduce a new APR different from the agreed APR, the bank or OFI should notify its customers of the new rate at least ten (10) business days in advance of the application of the new rate.

Provided that in the case of microfinance banks, when there is a change in the agreed APR, the customer must be notified within five (5) business days in advance of application of the new rate.

1.7 With respect to banks, PMBs and DFIs, seven (7) days grace period shall be allowed before a penal charge is applied on an account and in the case of MFBs, three (3) days grace period is allowed. For the avoidance of doubt, there is no forbearance of penal charge for the duration of the grace period.

1.8 Charges for credit reference report are applicable to only customer-induced credit reference reports. For credits granted, this cost would be part of the interest charged and therefore, the customer should not be charged. However, for credits not granted as a result of negative credit report, full cost recovery should be borne by the customer.

2. **Account Service Charges**

2.1 Current Account Maintenance Fee (CAMF) applies to current accounts **ONLY** in respect of customer-induced debit transactions to third parties and transfers/lodgments to the customer's account in another bank.

2.2 Transaction receipt/alert/confirmation for any charge shall contain a description of the charge.

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3. **Commission on Bonds, Guarantees and Indemnities**

3.1 Advance Payment Guarantee (APG) is chargeable from the date of contingent liability, and the charges shall be based on the value of the advanced payment received by the bank.

3.2 Where a guarantee involves the receipt of funds from a third party, the contingent liability is deemed to arise on the date of receipt and charges based on the amount received.

4. **Electronic Banking**

4.1 In the case of MMOs, the cost of hardware tokens issued to mobile payment customers is cost recovery and no charge for software token.

4.2 In the event of physical damage, loss of token or replacement after expiration, the customer shall bear the cost for hardware token replacement only.

5. **Trade-Related Charges**

5.1 In the case of DFIs, the provisions of this Guide on inward and outward letters of credit are applicable to only such DFIs that are Authorised Dealers.

5.2 LC Establishment Commission charges are on the period of validity of the credit.

6. **Domestic Transaction Fees**

6.1 Where a customer opts not to receive SMS notification, the customer should issue an indemnity (for losses that may arise as a result) to the financial institution.

7. **Miscellaneous**

7.1 Customer to choose from a list of at least 3 insurance companies to be recommended by the financial institution.

7.2 Advisory/consultancy fee only applies where there is:

- a written advisory/consultancy agreement between the financial institution and the customer; and
- documentary evidence that the service has been rendered.

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PART 4

LIST OF ACRONYMS

ACRONYM	MEANING
APG	ADVANCE PAYMENT GUARANTEE
APR	ANNUAL PERCENTAGE RATE
CAC	CORPORATE AFFAIRS COMMISSION
CAMF	CURRENT ACCOUNT MAINTENANCE FEE
CGC	CREDIT GUARANTEE COMPANY
CTC	CERTIFIED TRUE COPY
DFI	DEVELOPMENT FINANCIAL INSTITUTION
FC	FINANCE COMPANY
MFB	MICROFINANCE BANK
MMO	MOBILE MONEY OPERATOR
NHF	NATIONAL HOUSING FUND
NTBs	NIGERIAN TREASURY BILLS
OTP	ONE TIME PASSWORD
RTGS	REAL TIME GROSS SETTLEMENT SYSTEM
PIN	PERSONAL IDENTIFICATION NUMBER
PMB	PRIMARY MORTGAGE BANK
PoS	POINT OF SALE
USSD	UNSTRUCTURED SUPPLEMENTARY SERVICE DATA

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PART 5

GLOSSARY

TERMS	DEFINITION
Advance Payment Guarantee	An irrevocable commitment by a financial institution on behalf of its customer to secure upfront payments made to the customer by a third party or principal for a contract awarded to the customer in line with the terms of the contract.
Advising Commission	This is a commission earned by a bank for verifying the authenticity of a letter of credit and for delivering same to the beneficiary. Usually, the bank that performs this function is based in the exporter's country and is called the advising bank.
Advisory/Consultancy Fees	Fees charged by financial institutions for providing advisory/consultancy services as agreed with the customer.
Amendment Fee	Fee charged for modifying the terms of a letter of credit/Form M at the instance of the applicant.
Annual Percentage Rate	This represents the total cost to be borne by a customer for a credit (loan, advance or financing) over a one-year period, expressed as a percentage. It incorporates the interest rate and all applicable lending fees but excludes any penal charges.
Bank Guarantee	An irrevocable undertaking of a bank that the liabilities of a debtor (e.g. the bank's customer) would be met.
Bankers' Acceptance	This is a promissory note which is drawn on and accepted by a bank. It specifies the amount, the date, and the person to which the payment is to be made.
Bid bond/Tender Security/Bid Security	This is a guarantee issued by a third party, usually a bank, to a principal (the client) on behalf of a contractor (a bank's customer) that the contractor has the financial capacity to execute a contract.
Bills for Collection	A payment mode for international trade where transaction documents are sent by the seller's bank to the buyer's bank against which payment or acceptance are made by the buyer before shipping documents are released. In a bill for collection against acceptance, a bank releases document to the buyer on acceptance of the bills of exchange/draft while in a

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TERMS	DEFINITION
	bill for collection against payment, the documents are released upon payment.
Bills Payment	A process in electronic payments wherein financial institutions facilitate payments for services, such as utilities and subscriptions, on behalf of their customers.
Biometric Enabled Service	Services that enable the use of biometric devices such as fingerprint scanners and facial recognition cameras that allows customers carry out transactions.
Bulk payment	This involves payment to multiple beneficiaries.
Card Issuance fee	Fee charged by bank for issuance of a payment card (such as debit/credit prepaid cards).
Chargeable date	Chargeable date refers to the date the amount on a performance bond or advance payment guarantee is received.
Charges	These include rates, fees, commissions and other applicable tariffs.
Cheque	A negotiable instrument drawn on a bank to pay a specific amount of money to a named beneficiary upon demand or specified date. Examples include Bills of exchange, drafts etc.
Collection Charge on Foreign Cheques	Fee charged by a bank for collection of proceeds of foreign cheques on behalf of their customers.
Commercial Papers	This is a short-term debt financing instrument issued by a company which can be readily traded.
Commitment Fees	A fee charged by a financial institution for an unused credit line in order to keep the line of credit open.
Commission on Confirmation of LC	This is a commission charged by a bank for verifying the authenticity of an LC and for adding its name to the LC. Confirmation is normally added at the request of the issuing bank.
Confirmation Line Charge	This is a fee charged by a bank to issue/establish a confirmed letter of credit on behalf of a customer using its trade finance line with an offshore correspondent bank.
Confirming Bank	It is the bank that adds its confirmation to a letter of credit upon the issuing bank's authorization or request.
Consortium/ Syndicated Lending	A type of financing arrangement in which two or more banks come together to jointly finance a project.

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TERMS	DEFINITION
Contingent Liability	This is an obligation that may arise upon the occurrence of specified condition(s) as indicated in a contract.
Counter Cheque	This is a blank cheque provided to a customer whose cheque is not available at the point of withdrawal from the current account.
Credit Guarantee	This is a formal commitment by a third party to assume an agreed part or all of the credit loss that may arise from a borrower's default.
Credit Reference Report	A credit reference report provides a snapshot of a borrower's credit history and repayment record. It supports the determination of the creditworthiness of the borrower.
Current Account Maintenance Fee	This is a monthly fee chargeable on current accounts based on the level of customer-induced debit transactions that occurred in the account during the month. This fee is not applicable to bank-induced debits and customer-induced transfers to other accounts in the same name and in the same bank.
Discounted Instruments	These are money market instruments that are issued at less than their face value and are redeemed at their face value upon maturity.
Domiciliary Account	This is a bank account denominated in foreign currency and can be current or savings account.
Equipment Leasing	An arrangement through which the owner of an equipment (lessor, e.g. a bank) conveys the right to use the equipment to another party (the lessee, e.g. a bank's customer) for a specified period of time (the lease term) and for specified periodic payments (lease rental).
Establishment Commission	A commission charged by a bank for initiating a letter of credit on behalf of a customer.
Hybrid Card	A card that has both debit and credit features.
Indemnities	An undertaking to compensate for loss or penalty arising from a contingent liability.
Letter of Credit	A written undertaking by a bank on behalf of the importer (buyer) to pay specified sum in specified currency, provided the exporter (seller) meets specified condition and submit the prescribed documents within a fixed timeframe.

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TERMS	DEFINITION
Letters of Credit Expiry Date	The last day the beneficiary of a letter of credit (usually the exporter) should fulfil the terms of the credit, failing which (and in the absence of an extension or renewal) the letter of credit becomes invalid.
Monetary Policy Rate	This is the policy rate set by the Monetary Policy Committee to anchor interest rate direction in the economy.
Negotiable	This refers to a rate that is open to discussion between a financial institution and its customer.
Negotiation of Documents	Negotiation means the giving of value for draft(s) and/or document(s) by the bank authorized to negotiate. Mere examination of the documents without giving value does not constitute a negotiation.
Other Financial Institutions	This is as defined under Section 57 (1) and (2) of the Banks and Other Financial Institutions Act 2020.
Overdraft	This is a loan arrangement where a bank allows a current account customer to make withdrawals above the balance in the account up to a certain limit.
Past Due	The portion of a bill/loan (with any applicable interest) that is due for repayment but not yet paid.
Penal Rate	Penal rate is the interest rate that financial institutions charge customers for failing to make payments on loans and advances as at when due, including excess over authorized overdraft/credit limit and late repayment on micro leases, and microfinance-related hire purchase (as applicable). It is charged in addition to the agreed interest rate(s).
Perfection of Security	This is the process of registering a financial institution's interest in an asset held as collateral with the appropriate statutory authority so that it is made legally enforceable in the event of default.
Performance Bond	This is a guarantee issued by a third party, usually a bank, to a principal (the client) on behalf of a contractor (a bank's customer) against failure of the contractor to meet obligations specified in the contract.
Premium Cards	These are cards issued on the request of qualifying/high net worth customers that come with additional usage perks and charges, which shall be disclosed and agreed upon with the customer prior to issuance.
Refinancing Charge	This is the cost of repaying/replacing a trade finance line with an offshore correspondent bank used to make payment to the beneficiary of a confirmed letter of credit.

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TERMS	DEFINITION
Revalidation of Documents	Official approval or confirmation of a document after a change has been effected on the same document.
Sight bill	This is a bill of exchange which is payable on presentation to the drawee i.e. on demand.
Status Enquiry	This is an official request made to a bank or other financial institution, requesting for a customer's financial information. It may be initiated either by the customer or a third party (for which the consent of the customer must be received before its release).
Third Party Cheque Indemnities	A written undertaking by a third party (such as a bank), on behalf of one of the parties (the first party) to a transaction or contract, to cover the other party (the second party) against specific loss or damage arising from dishonouring the cheque of the first party.
Usance Bill	This is a bill of exchange which allows the drawee have a period of credit. The term can begin from the date of the bill of lading or from the date of acceptance by the drawee and is stated in days or months.

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PART 6 - MINIMUM DISCLOSURE REQUIREMENTS IN OFFER LETTERS FOR CREDIT FACILITIES/LOANS

A. GENERAL REQUIREMENTS

S/N	REQUIREMENT	NOTES
1	Name of borrower	The full name of the borrower.
2	Contact details of the borrower	This should clearly state the address (location), telephone number, email, etc. of the borrower.
3	Credit type	This states the type of facility approved for the borrower.
4	Purpose of the credit	This states the reason for which the facility is granted.
5	Amount	This is the amount approved for the facility.
6	Collateral	The bank should disclose the asset pledged by the borrower as security for the facility (e.g. shares, landed property, cash, etc.).
7	Loan tenor	This is the agreed duration for the facility.
8	Interest rate	This is the annual interest rate to be charged by the bank on the loan amount.
9	Variable rate information	This should clearly state the possibility of changes in rates in line with money market conditions. It should include notification and timelines for concurrence by customers to the changes. The new rates (both increase and decrease) can only apply 10 working days (DMB) and 5 working days (OFI) after the notification. The variable rate information should also outline the bank's responsibilities in the event of such movements in rates.
11	Repayment terms	This should state the frequency (i.e. monthly, quarterly, bullet, etc.) of repayment of principal, interest on outstanding balance and moratorium (if any). It should also state the date on which the repayments fall due and may include information such as the bank's right to call in the facility (in the event of certain occurrences), etc.

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12	Repayment schedule	The bank should provide in detail, the periodic amounts to be repaid by the borrower within the tenor of the facility.
13	Early Liquidation Terms	This includes all information the borrower needs to know, including rights/obligations, or penalties, in the event of liquidation of the facility, before the expiry date, in line with this Guide. Early liquidation fees shall however not be applicable in the case of consumer and SME loans.
14	Late repayment	This should detail all penalties that will be borne by the borrower in the event of default, in line with this Guide.
15	Grace period	a. Seven (7) days shall be allowed within which there will be no penal charge on late repayments. b. Seven (7) days from the date of execution, shall be allowed within which loan contracts can be rescinded.
16	Insurance requirements (where applicable)	The bank is expected to disclose the nature of insurance policy required for the facility.
17	Conditions precedent to drawdown	This details all requirements which must be fulfilled by the borrower before drawdown on the facility. Such information includes the submission of Insurance documents, receipt by the bank of collateral documentation, execution of loan offer letter, etc.

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B. CONSUMER LOANS

This encompasses the various types of loans given to individuals either to finance the acquisition of an asset or to execute personal projects. Some of these loans are unsecured and are based on the borrower's ability to repay.

(a) Unsecured personal loans;
(b) Secured personal loans;
(c) Computer loans;
(d) Auto loans;
(e) Other forms of bridging finance availed to borrowers.

S/N	DISCLOSURE REQUIREMENT	NOTES
1	Name, address and contact details of the borrower	This includes the name, address and day-time contact details of the borrower.
2	Item financed	This states the consumer good(s) to which the bank is financing.
3	Itemization of amount financed	This gives a breakdown of the item(s) being financed.
4	Annual percentage rate	This is the interest rate which will be charged by the bank on the amount disbursed.
5	Variable rate information	This should clearly state the possibility of changes in rates in line with money market conditions. It should also outline the bank's responsibilities in the event of a movement in rates, including the means and timing of its notification to the customer.
6	Repayment schedule	The bank should also disclose in details, all necessary repayment information including the monthly, quarterly or other repayment sums as was agreed with the borrower.
7	Prepayment Terms	This includes all information the borrower needs to know during the consummation of the facility, such as the customer's rights (and penalties) in the event of his decision to pay off the facility before its expiration, etc.
8	Late payment policy	This should detail all penalties that will be suffered by the borrower in the event of default.
9	Collateral	The bank will be required to disclose the property, goods, shares and/or other assets pledged by the borrower as security for the facility.

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10	Insurance requirements (where applicable)	The bank is expected to disclose the nature of insurance policy required for the facility.
11	Repayment terms	This should state the frequency (i.e. monthly, quarterly, bullet, etc.) of repayment of principal, interest on outstanding balance and moratorium (if any). It should also state the date on which the repayments fall due and may include information such as the bank's right to call in the facility (in the event of certain occurrences), etc.
12	Loan tenor	This spells out the agreed duration for the facility.
13	Conditions precedent to drawdown	This details all requirements which must be fulfilled by the borrower before drawdown on the facility. Such information includes the submission of Insurance documents, perfection of collateral documentation, etc.

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C. MORTGAGE LOANS

S/N	DISCLOSURE REQUIREMENT	NOTES
1	Name, address and contact details of the borrower	This includes the name, address and day-time contact details of the borrower.
2	Description of the property financed	This should describe location and other features of property being financed by the bank.
3	Itemization of amount financed	This gives a breakdown of the item(s) being financed.
4	Annual percentage rate	This is the interest rate which will be charged by the bank on the amount disbursed.
5	Variable rate information	This should clearly state the possibility of changes in rates in line with money market conditions. It should also outline the bank's responsibilities in the event of a movement in rates, including the means and timing of its notification to the customer.
6	Payment schedule	The bank should also disclose in details, all necessary repayment information including the monthly, quarterly or other repayment sums as was agreed with the borrower.
7	Prepayment Terms	This includes information the borrower needs to know during the consummation of the facility, such as the customer's rights (and penalties) in the event of his decision to pay off the facility before its expiration, etc.
8	Late payment policy	This should detail penalties that will be suffered by the borrower in the event of default.
9	Collateral	This refers to the security for the loan. Usually, it is the property being financed.
10	Insurance requirements (where applicable)	The bank is expected to disclose the nature of insurance policy required for the facility.
11	Repayment terms	This should state the frequency (i.e. monthly, quarterly, bullet, etc.) of repayment of principal, interest on outstanding balance and moratorium (if any). It should also state the date on which the repayments fall due and may include information such as the bank's right to call in the facility (in the event of certain occurrences), etc.

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12	Loan tenor	This is the agreed duration for the facility.
13	Conditions precedent to drawdown	This details all requirements which must be fulfilled by the borrower before drawdown on the facility. Such information includes the submission of Insurance documents, perfection of collateral documentation, etc.

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D. OVERDRAFTS

S/N	DISCLOSURE REQUIREMENT	NOTES
1	Name, address and contact details of the borrower	This includes the name, address and day-time contact details of the borrower.
2	Purpose for the loan	This should describe the customer's needs which the overdraft is aimed to finance.
3	Overdraft limits	The limits on the overdraft line should be clearly stated.
4	Annual percentage rate	This is the interest rate which will be charged by the bank on the amount disbursed.
5	Variable rate information	This should clearly state the possibility of changes in rates in line with money market conditions. It should also outline the bank's responsibilities in the event of a movement in rates, including the means and timing of its notification to the customer.
6	Late payment policy	This should detail all penalties that will be suffered by the borrower in the event of default.
7	Collateral	The bank should describe the security for the facility.
8	Insurance requirements (where applicable)	The bank is expected to disclose the nature of insurance policy required for the facility.
9	Repayment terms	This includes all information the borrower needs to know before the consummation of the facility, which includes information such as the bank's right to call in the facility (in the event of certain occurrences), etc.
10	Loan tenor	This is the agreed duration for the facility.

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E. CONTINGENT LIABILITIES

PRODUCTS	DISCLOSURE REQUIREMENTS
Bid Bond	• Bank should issue offer letter stating terms and conditions; • Where a customer provides funds, the bank should invest the funds to earn income so as to pay the customer interest at an agreed rate; • Where a bank provides funds – parties should agree on a rate and other transaction dynamics
Performance Bond	• Banks should issue offer letter stating the terms and conditions, based on risk assessment.
Advance Payment Guarantee	• Banks should issue offer letter stating the terms and conditions, including utilization of proceeds to be received and appointment of quantity surveyor/expert.
Bank Guarantee	• The offer letter should state the terms and conditions, and explain measures to be taken should the risk crystallize; • Where a customer provides funds, the bank should invest the funds to earn income so as to pay the customer interest at an agreed rate.
Indemnities	• The offer letter should state the terms and conditions, and explain measures to be taken should the risk crystallize.

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